

ENGLISH **LIVE**

43

COMPREHENSION & VOCABULARY

UPSC / BANK PO / SSC / OTHERS

SESSION - 43

28th MARCH, 2017

A timely step

State-owned banks, told to submit turnaround plans, should strive to address their NPAs

The Finance Ministry's unequivocal missive to 10 state-owned lenders to submit time-bound turnaround plans, or forsake any further capital infusion from the government, is a small yet timely step in the right direction. As the Reserve Bank of India had flagged in its last Financial Stability Report, risks to the banking sector remain worryingly "high". The continuous deterioration in asset quality, especially at the public sector banks (PSBs), has led to low profitability and substantial value erosion to the principal shareholder — the government. As the RBI's report pointed out, PSBs saw the proportion of their gross non-performing assets to total advances almost double in the 12 months through September 2016 to 11.8%. That the Ministry has identified 10 of these PSBs to administer a dose of tough love suggests they are the ones most in need of urgent corrective action. In fact, RBI Deputy Governor Viral Acharya told bankers in a speech last month that the problem of bad loans has come to such a pass that, "we simply don't as a society have any excuse or moral liberty to let the banking sector wounds fester and result in amputation of healthier parts of the economy." This is because commercial lenders have a central role in the economy, by serving to harness public savings and directing the flow of crucial credit to the most productive industrial and infrastructure sectors. And when PSBs, with their revolving-door top managements, have little incentive or accountability to redress the burgeoning imbalance in their balance sheets, it is time the largest shareholder delivers an ultimatum: shape up or be prepared to face the consequences.

That the Centre has chosen to include the employees' unions in the proposed MoUs it intends to enter into with the lenders is also indicative of the seriousness with which it is approaching the resolution this time around. Staff, who have been a key element in the growth and development of the sector, have a vested interest in the health of PSBs; the risk of continued failure is closure and job losses. To be sure, the Centre has to work simultaneously in close concert with the banking regulator and the lenders themselves to structure appropriate mechanisms to enable the implementation of the turnaround plans, including resolution of the stressed assets. Also, as Mr. Acharya pointed out, the PSB managements would need to be empowered so that "haircuts [writedowns on the value of debt] taken by banks under a feasible plan would be required by government ruling as being acceptable by the vigilance authorities." The stipulation of a three-year time limit for the implementation of the turnaround is also significant as Indian lenders have to meet Basel III capital regulations by March 31, 2019. There is therefore little time to lose, and the government and the banks have their work cut out if India is to avoid the spectre of weak banks having little incentive to lend, and economic activity affected for want of credit.

DISCUSSION ON 28th Mar (Today)

DISCUSSION ON 29th March (tomorrow)

Health Policy: Now to Walk the Talk

The scope is large, the means yet sparse

As broad roadmaps go, the National Health Policy 2017 is comprehensive. It sets access to affordable, comprehensive and quality healthcare for all as a priority for the government. Sensibly, it stops short of making healthcare a justiciable right and focuses, instead, on pathways to universalise affordable and quality healthcare. It sets milestones both in terms of public financing and programme impacts. The policy commits the government to increase public spend on healthcare from the current 1.15% to 2.5% of GDP by 2025, and sets a floor of 8% of state budget for states to meet by 2020.

While it still is focused on putting in place a tax-financed system where the government is the single payer, it acknowledges that ensuring healthcare access for all will require working with the private sector, and setting priorities. The aim is to buttress public health, nutrition and the primary healthcare system, moving to assured comprehensive care — with every family having a health



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The policy needs an array of supportive laws, regulations and agencies yet to be created. Further, the use of market methods to align incentives of private providers and patients remains under-explored.

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A timely step

THE HINDU
INDIA'S NATIONAL NEWSPAPER SINCE 1878

Date : 27th March, 2017

A timely step

State-owned banks, told to submit *turnaround* plans, should *strive* to address their NPAs

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- This is because commercial lenders have a central role in the economy, by serving to *harness* public savings and directing the flow of crucial credit to the most productive industrial and infrastructure sectors.
- And when PSBs, with their revolving-door top managements, have little *incentive* or accountability to *redress* the *burgeoning* imbalance in their *balance sheets*, it is time the largest shareholder delivers an *ultimatum*: shape up or be prepared to face the consequences.
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SALIENT POINTS

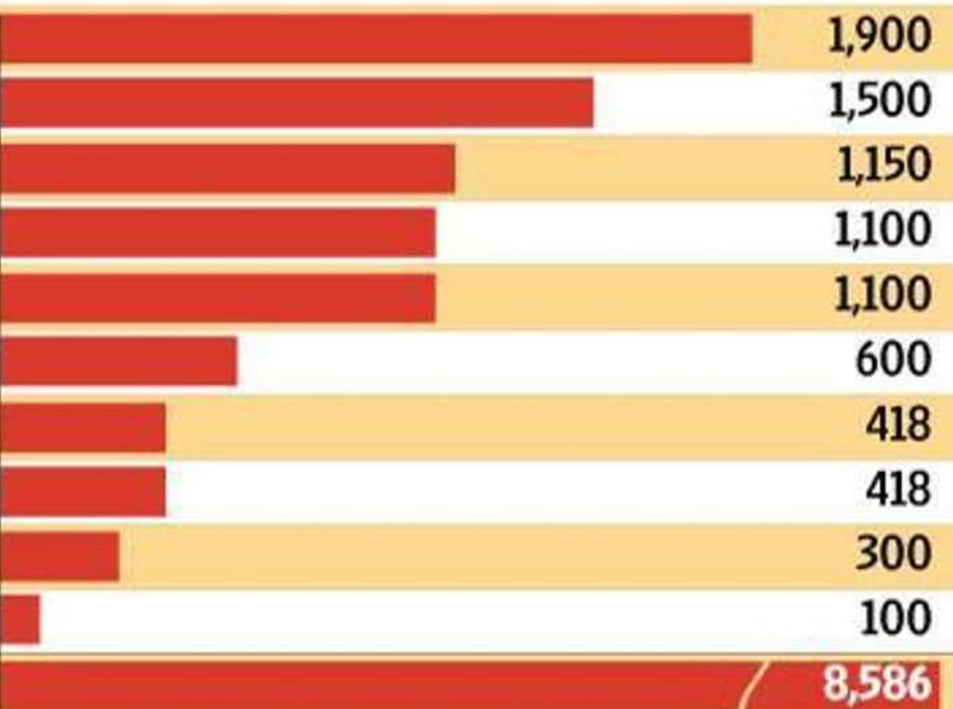
- *As per RBI's Financial Stability Report, PSBs saw the proportion of their gross NPAs almost double in the 12 months period by reaching around 12% by Sept, 2016.*
- *The Finance Ministry has identified 10 of these public sector banks for urgent corrective action.*
- *It is causing imbalance in their balance sheets.*

Funding plans

The government is set to infuse Rs8,586 crore into 10 weak public sector banks this fiscal.

Capital allocation for fiscal year 2017

(in Rs crore)



IDBI Bank	1,900
Bank of India	1,500
Uco Bank	1,150
Andhra Bank	1,100
Indian Overseas Bank	1,100
Dena Bank	600
Allahabad Bank	418
United Bank of India	418
Bank of Maharashtra	300
Central Bank of India	100
Total	8,586

PUBLIC SECTOR BANKS



OLD GENERATION PRIVATE SECTOR BANKS



NEW GENERATION PRIVATE SECTOR BANKS



FOREIGN BANKS OPERATING IN INDIA



2. HIGH GROSS NPAs

LIVE

NON PERFORMING ASSETS

WHAT IS NON PERFORMING ASSET?

Interest and / or installment of principal remain overdue for a period of more than 90 days in respect of a term loan.

OR

The installment of principal or interest thereon remains overdue for two crop seasons for short duration crops/one crop season for long duration crops.

OR

If the cash credit account or overdraft account becomes out of order.

NON PERFORMING ASSETS

1

SUBSTANDARD ASSETS

- ✓ Which remained NPA for a period less than or equal to 12 months.
- ✓ It indicates well defined credit weakness.
- ✓ Indicates distinct possibility that banks may sustain loss.

2

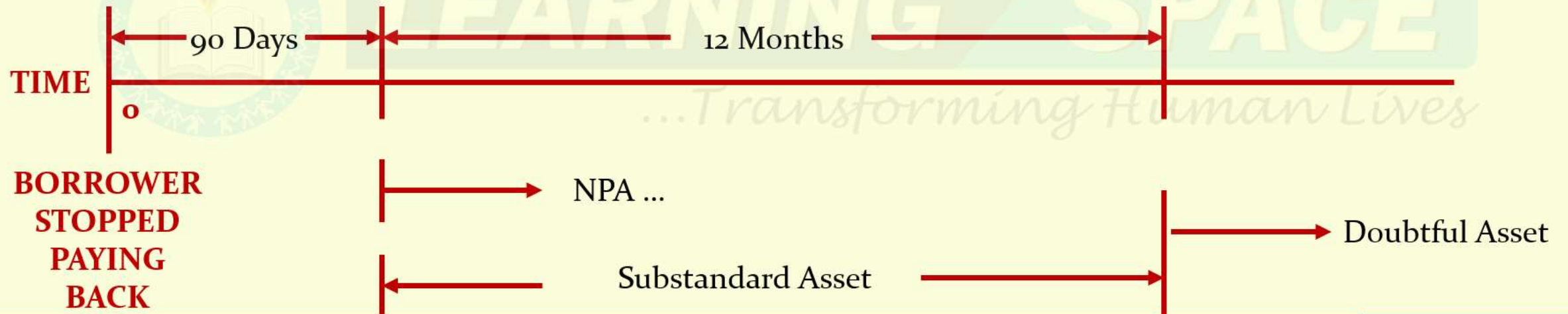
DOUBTFUL ASSETS

- ✓ Which remained in the substandard category for a period of 12 months.
- ✓ It indicates that the weaknesses may lead to liquidation.

3

LOSS ASSETS

- ✓ Where loss has been identified by the bank or internal or external auditors or during RBI inspection but the amount has not been written off.
- ✓ It indicates continuance as a bankable asset is not warranted.



MAIN REASONS

- 1 In efficient credit appraisal mechanism
- 2 More exposure to corporate loans
- 3 Stress in some sectors like infrastructure, steel industry etc.
- 4 Structural bottlenecks like environmental problems, forest clearances, land acquisitions etc.
- 5 Global down turn
- 6 Political interference while granting loans
- 7 Political patronage of borrowers
- 8 Banks have not exercised desired prudence.
- 9 Loans granted during boom times of the economy
- 10 Asset bubbles could not be understood properly.

Provisioning



Provisioning

Setting aside of money from profits to compensate a probable loss caused on lending a loan. It is to cover the risk.

NON PERFORMING ASSETS

WHAT CAN THE BANKS DO?

If the bank feels that there is genuine reason

1. Restructuring the loan on easy terms with longer time period

If the bank feels that there is no genuine reason

1. Referring the matter to Debt Recovery Tribunals (DRTs)
2. Referring the matter to Asset Reconstruction Companies (ARCs) as per SARFAESI Act, 2002
3. Filing winding up petitions in court of law
4. By filing criminal cases against the wilful defaulters
5. Strategic Debt Restructuring
6. Scheme for Sustainable Structuring Of Stressed Assets (S4A)

IF THE BANK FEELS THAT THERE IS GENUINE REASON

LIVE

1 RESTRUCTURING OF LOANS

- ✓ Done through **Corporate Debt Restructuring (CDR)** mechanism.
- ✓ Implemented by RBI from August 2001.
- ✓ Aimed at corporates affected by certain **genuine internal and external factors**.
- ✓ It covers only multiple banking accounts, consortium accounts / syndicated loan accounts, where the outstanding exposure is Rs. 10 crores or more.
- ✓ In CDR mechanism, lenders can allow
 - **Extension of repayment period.**
 - **Reduction in interest rate.**
 - **Moratorium for some period.**
 - **Additional loan**
- ✓ **CDR is approved, if at least 75%** of the banks by value of the loan and 60% by number agree to the proposal.
- ✓ **Restructured loans will go out of the books of NPAs**
- ✓ The biggest worry is more and more cases are coming up for restructuring, some times without genuine reasons.

1 DEBT RECOVERY TRIBUNALS

- ✓ These are established in various cities under the “Recovery of Debts Due to Banks and Financial Institutions (RDDBFI) Act, 1993”.
- ✓ Banks or FIs can file an application with DRT to recover dues from persons / companies.
- ✓ As per the Act, the issue is to be settled in 6 months.
- ✓ So far, the success rate is around 20% to 30%.
- ✓ In addition, DRATs (Debt Recovery Appellate Tribunals) are located at Allahabad, Chennai, Kolkata, Mumbai & New Delhi.

2 ASSET RECONSTRUCTION COMPANIES

- ✓ These are formed as per the “Securitization and Reconstruction of Financial Assets and Enforcement of Security Interest (SARFAESI) Act, 2002”.
- ✓ It empowers Banks & FIs to recover NPAs without the intervention of the court.
- ✓ This was brought to circumvent the inefficiency of DRTs.
- ✓ Banks have got powers to sell the “declared bad loans.”
- ✓ This is applicable for loans with outstanding of Rs. 1 Lakh and above.
- ✓ RBI has power to issue licences to ARCs and Asset Reconstruction Company (India) Ltd (ARCIL) is the first ARC established in India.
- ✓ It is too early to comment on the success or failure of ARCs.

3 FILING OF CRIMINAL CASES

- Criminal cases can be filed against the borrower, if the bank feels that the non-repayment of debt is due to “wilful default.”
- But, it is rarely resorted to by the banks.

4 WINDING UP PETITIONS

- Winding up petitions can be filed, if the borrower fails to pay back loan, under the Companies Act.
- “Official liquidator” will be appointed by the competent authority, if there is genuine reason.
- It is long drawn procedure in courts and has not given satisfactory results to Banks.

5

STRATEGIC DEBT RESTRUCTURING (SDR)

This is applicable only for Consortium Loans or Multiple Banking Arrangements (MBAs)

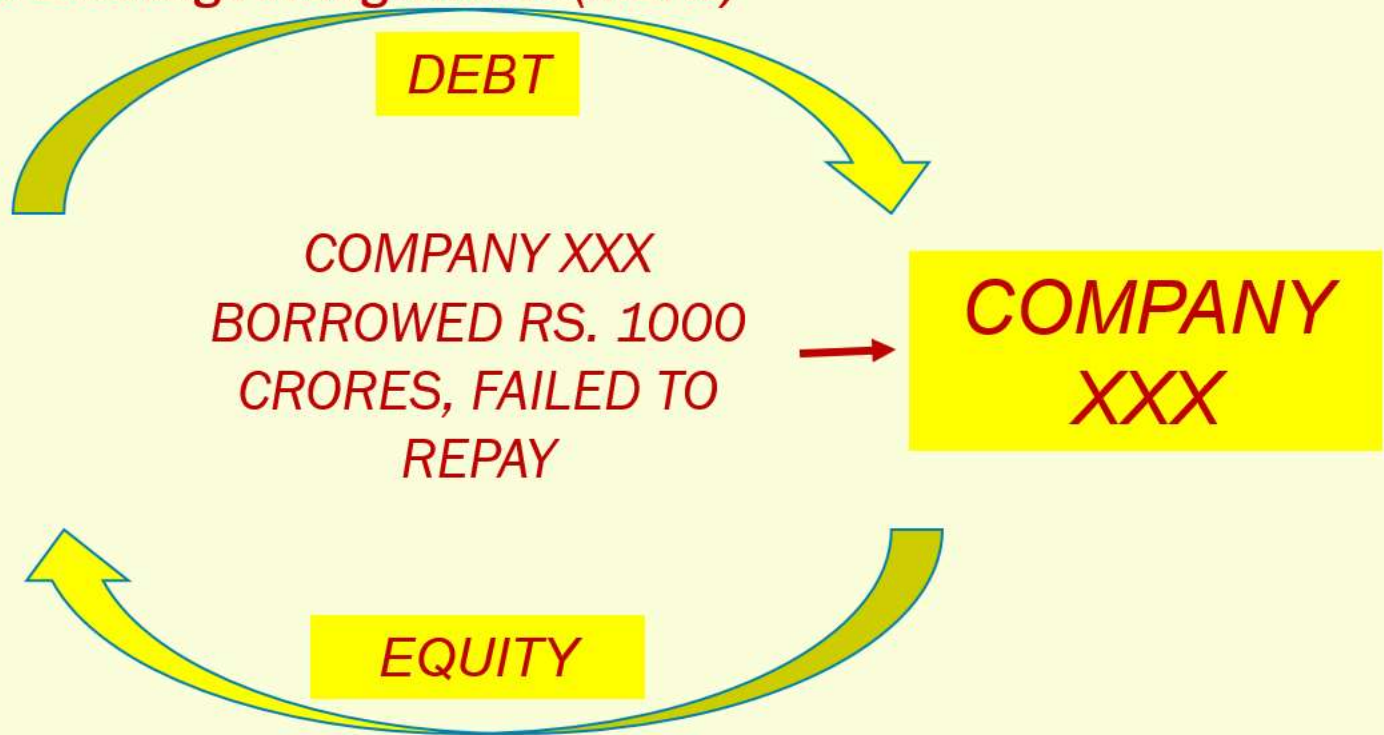


Consortium Lending

OR



Multiple Banking Arrangement Lending



- Now this debt can be converted to equity.
- It gives ownership of the firm for the banks.
- They can change management.
- They can make turnaround of the company.

IF THE BANK FEELS THAT THERE IS NO GENUINE REASON

6

SCHEME FOR SUSTAINABLE STRUCTURING OF STRESSED ASSETS (S4A)



- ✓ This is known as S4A or “Scheme for Sustainable Structuring of Stressed Assets”.
- ✓ This is another measure to reduce the stress on corporate borrowers and also to clean up the balance sheets of banks, especially PSBs.
- ✓ Here the outstanding debt is divided into sustainable debt and equity / quasi equity.
- ✓ To ensure transparency, an Overseeing Committee set up by IBA, in consultation with RBI, will review the process.



COMPANY XXX

DEBT

Not able to service the loan, as the debt is high

Sustainable Debt

Equity / Quasi Equity

Minimum should be 50% of Debt

Upto a maximum of 50% of the Debt

PARA

PUBLIC SECTOR ASSET
REHABILITATION
AGENCY



WHAT ABOUT HAIRCUT?



भारतीय स्टेट बैंक
State Bank of India
हर भारतीय का बैंक
THE BANKER TO EVERY INDIAN



बैंक ऑफ बड़ौदा
Bank of Baroda



Punjab
National
Bank



KINGFISHER
AIRLINES



Lloyds Steel

PARA

- *It is Public Sector Asset Rehabilitation Agency.*
- *Mentioned in Economic Survey 2016-17.*
- *A fine balance is to be maintained between institutional accountability and autonomy.*
- *PSBs should agree to losses.*

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Turnaround

It is the financial recovery of a company that has been performing poorly for a long time.



BSNL

To effect a turnaround, the company must develop a clear strategy, including changes in management, implement problem solving strategies.

Strive

*India must **strive** hard to narrow the gap between haves and have nots*



Strive

To try very hard to make something happen

Unequivocal

The Prime Minister announced in *unequivocal* terms that tax evaders will be prosecuted



Unequivocal

Expressed in a clear and certain way

Missive

The government issued strong **missive** to various departments to control expenditure



Missive

An official/formal letter

Forsake



*The two children were raised by their uncle from the childhood and now, he has **forsaken** them.*



*He has decided to **forsake** his government job for joining politics.*

Forsake

Abandon or leave

Forsake

To stop doing / having something

Yet



He has not come, yet

Yet

Until now

He studied up to graduation in a rural area, yet he has ability to become an IAS officer



Yet

Even at this stage

He is bald and overweight, yet he looks handsome.

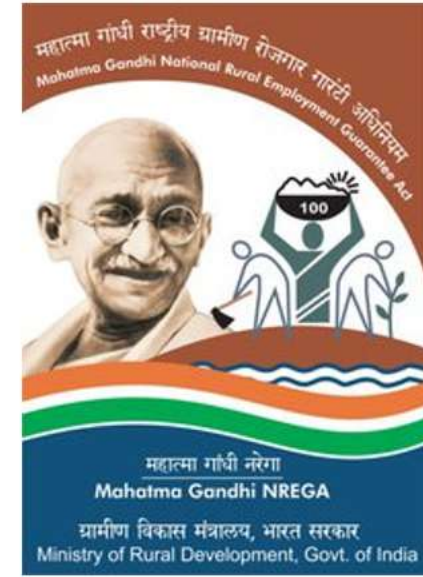


Yet

To add something with a surprise

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Flagged

*The report **flagged** several discrepancies in the operation of MGNREGA.*

Flagged

To mark for attention

Substantial

A **substantial** population is still living in slum areas in Indian cities.



Substantial

of considerable importance / size

Erosion



Erosion

*High NPAs may **erode**
the capital base of the
public sector banks*



Erosion

Gradual reduction of
something

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That the Ministry has identified 10 of these PSBs to administer a dose of **tough love** suggests they are the ones most in need of urgent corrective action. In fact, RBI Deputy Governor Viral Acharya told bankers in a speech last month that the problem of bad loans has come to such a pass that, “we simply don’t as a society have any excuse or moral liberty to let the banking sector wounds **fester** and result in **amputation** of healthier parts of the economy.”

Tough love

*Several parents fail to give a dose of **tough love** to their adolescent children, which is very much essential to transform into responsible citizens.*



Tough love

A mixture of toughness and warmth used in a relationship, especially with an adolescent.

Fester



Fester

Amputation

Because of limitations of space, the editor **amputated** the last two paragraphs of the news report.



Amputation

To cut off a part of the body/the action of surgically cutting off a limb.

A timely step

This is because commercial lenders have a central role in the economy, by serving to **harness** public savings and directing the flow of crucial credit to the most productive industrial and infrastructure sectors.

Harness

*Companies or organizations should **harness** the skills and the knowledge of the people so as to take the organization ahead in the highly competitive world.*



Harness

To collect and control something to use it effectively



INDUSTRY



INFRASTRUCTURE



27th March 2017

A timely step



LEARNING / SPACE

And when PSBs, with their revolving-door top managements, have little **incentive** or accountability to **redress** the **burgeoning** imbalance in their **balance sheets**, it is time the largest shareholder delivers an **ultimatum**: shape up or be prepared to face the consequences.

Incentive

Cash *incentives* will go a long way in increasing digital transactions



Incentive

Something that encourages a person or organization to do something

Redress

*The district collector and his organization must **redress** the grievances of the citizens in the district.*



Redress

To set right an undesirable or unfair situation

Burgeoning

*Paytm hopes to make huge profits from the **burgeoning** digital payment systems.*

The Paytm logo is displayed in a large, bold, sans-serif font. The word "pay" is in dark blue, and "tm" is in a lighter blue.

Burgeoning

Developing quickly

Balance sheets

Example Company Balance Sheet December 31, 2016

ASSETS

Current assets
Investments
Property, plant, and equipment
Intangible assets
Other assets
Total assets

LIABILITIES & OWNER'S EQUITY

Current Liabilities
Long-term liabilities
Total liabilities

Owner's equity
Total liabilities & owner's equity

Balance sheets

A financial statement that shows a company's assets and liabilities at a particular time

Ultimatum

*The CEO of the company issued an **ultimatum** to all the employees to improve the productivity, otherwise, some of the employees have to go home.*



Ultimatum

A warning, usually most threatening and sometimes the last

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Vested interest

***Vested interest in
bureaucracy is the main
cause of concern in our
country.***



Vested interest

A strong personal interest in something because you could get an advantage from it



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Concert



*Tata Sons and Docomo
were not able to **concert** a
settlement and
subsequently, the matter
went to arbitration.*

Concert

A musical performance
given in public

Concert

To contrive or arrange by
agreement

Haircuts



Saloon

*As the company is into losses, the top management asked the employees to take the **haircut** of about 10% from the salary.*

HSBC



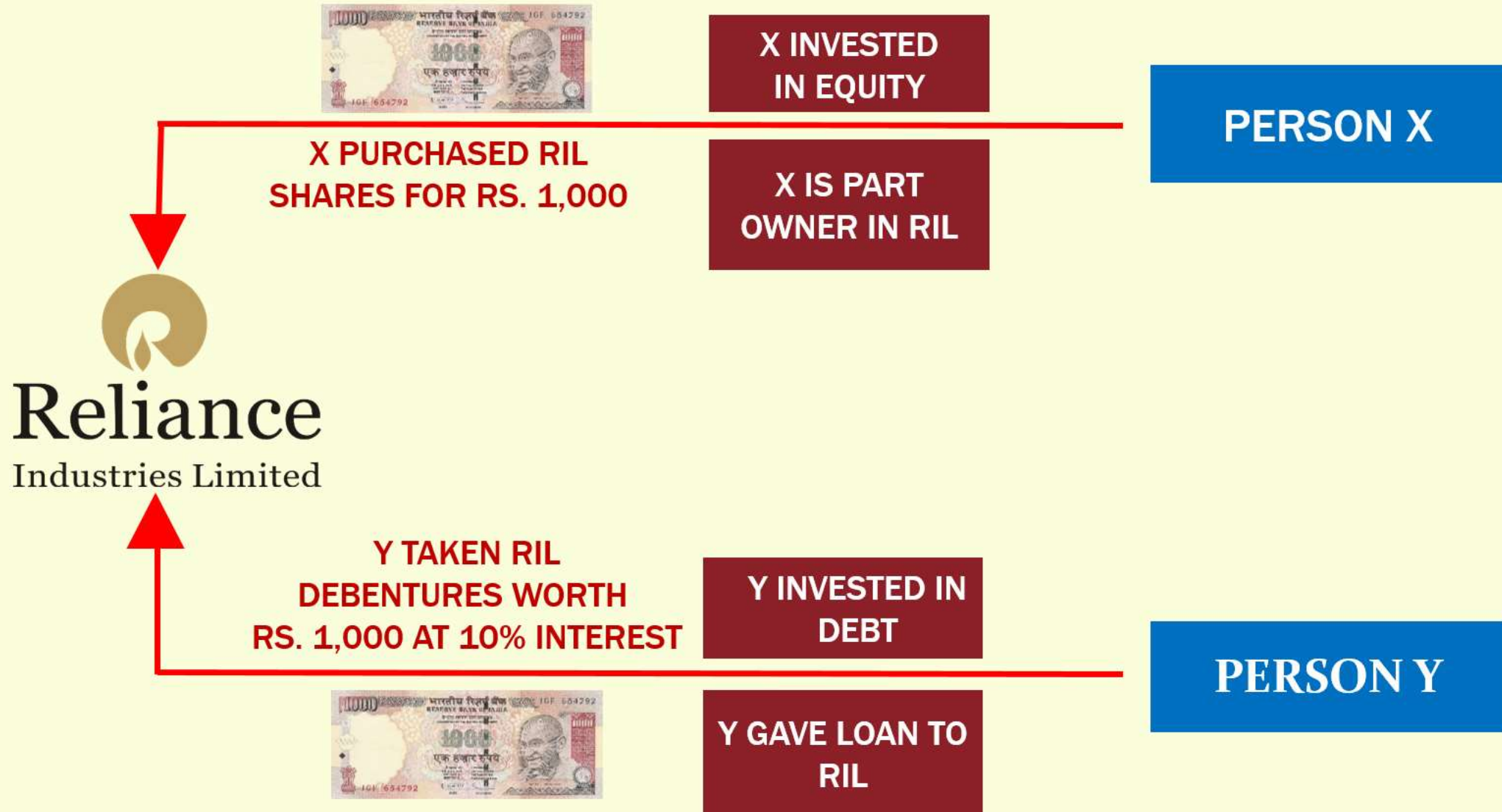
snapdeal

Haircuts

Haircuts

Reduction in the amount
of money

DEBT & EQUITY



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BASEL III NORMS

1

CAPITAL ADEQUACY

In India, total capital adequacy is kept at 9% and to be ensured by 31st March, 2019

2

LIQUIDITY COVERAGE RATIO

$$\text{LCR} = \frac{\text{High Quality Liquid Assets}}{\text{Total Net Liquidity Outflows over 30 days}} \geq 100\%$$

In India, 100% LCR is to be ensured by 1st Jan, 2019

3

NET STABLE FUNDING RATIO

The available amount of stable funding to exceed the required amount of stable funding over one year period

Work cut out

*Vodafone and Idea have their
work cut out in the lead up to
the merger.*



Work cut out

The company has got something very difficult to do

Spectre

*Drought conditions have raised the **spectre** of food shortages for millions of people across Africa.*



Spectre

The idea of something unpleasant that might happen in the future

Health Policy: Now to Walk the Talk

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THE ECONOMIC TIMES

Date : 23rd March, 2017